FINANCIAL SERVICES | BANKS - REGIONAL

HDFC Bank Limited

NSE: HDFCBANK | Yahoo: HDFCBANK.NS

BUY: target Rs 832.9, +20.2% from Rs 692.8

RATING

▲ BUY

Conviction: Low

Target Rs 832.9 | CMP Rs 692.8

CURRENT PRICE **Rs 692.8** +1.39% on the day	12-MONTH TARGET **Rs 832.9** 2 method(s) blended
UPSIDE / DOWNSIDE **+20.2%** to target	COMPOSITE SCORE **55/100** six pillars
MARKET CAP **Rs 10,69,149 cr** NSE listed	STREET VIEW **Strong Buy** 42 analysts

Summary

We arrive at a 12-month target price of Rs 832.9 for HDFC Bank Limited, a blend of relative P/B and street consensus. This implies +20.2% from the current market price of Rs 692.8. The stock scores 55 out of 100 on our six-pillar scorecard; the strongest pillar is Valuation (69) and the weakest is Relative strength (25). Rating: BUY with low conviction. MODEL

Investment rationale (data-backed)

+ Revenue grew at a 27.5% CAGR over FY23 to FY26 (Rs 1,20,538 cr to Rs 2,49,562 cr).
+ Earnings per share excluding one-offs compounded at 12.5% a year over FY23 to FY26.
+ 42 analysts have a mean target of Rs 959.4 (+38.5% from the current price).
+ Institutions hold 83.0% (FII 39.4%, DII 43.6%) as of 30-Sep-2026.

Key risks and concerns

- Return on equity of 8.9% in FY26 is below the cost of equity of 14.5%.
- Price trend is down: the stock is below its 200-day average (Rs 789.5) and the 50-day average is below the 200-day.
- Underperformed the Nifty 50 by 18.5% over 12 months ((29.4)% vs (10.9)%).
- Valuation cross-check disagrees: Justified P/B (Gordon growth) gives Rs 180.0, on the other side of the current price from the target of Rs 832.9.

How the rating was reached

1. Upside of 20.2% to the blended target gives a base rating of BUY (BUY at 15% or more, SELL below -5%).

2. Composite score of 55 does not trigger a score gate.
3. Conviction is Low: an excluded valuation method points the other way. Justified P/B (Gordon growth) gives Rs 180.0, on the other side of the current price from the target of Rs 832.9.

Company profile

HDFC Bank Limited provides banking and financial products and services to individuals and businesses in India, Bahrain, Hong Kong, Singapore, and Dubai. The company operates through Treasury, Retail Banking, Wholesale Banking, Other Banking Business, Insurance Business, and Other segments. It offers savings, salary, current, rural, public provident fund, pension, and demat accounts; fixed and recurring deposits; and safe deposit lockers, as well as offshore accounts and deposits, and overdrafts against fixed deposits. The company also provides personal, home, car and pre owned car, marriage, two-wheeler, business, doctor, educational, gold, consumer, and rural loans; loans against properties, securities, mutual funds, and car; loans for professionals; government sponsored programs; and loans on credit card, as well as working capital, term loans, supply chain management, project ...

KEY STOCK DATA

NSE / BSE symbol	HDFCBANK.NS
BSE code	500180
Sector	Financial Services
Peer group	Private Banks
Shares outstanding (cr)	1,543.2
Market cap (Rs cr)	10,69,149
3-m avg daily value (Rs cr)	2,117
52-week high / low	Rs 1,018 / Rs 669.2
Beta vs Nifty (1 yr)	1.22
Dividend yield	2.0%
Nifty 50 / Sensex	23,053 / 74,460
Last results board meeting	17-Oct-2026

PRICE PERFORMANCE (%)

Period	Absolute	Rel. to Nifty
1 month	(2.2)%	(4.2)%
3 months	(8.1)%	(2.9)%
6 months	(8.7)%	(4.8)%
12 months	(29.4)%	(18.5)%
3 years	(2.6)%	(23.0)%

SHAREHOLDING (%)

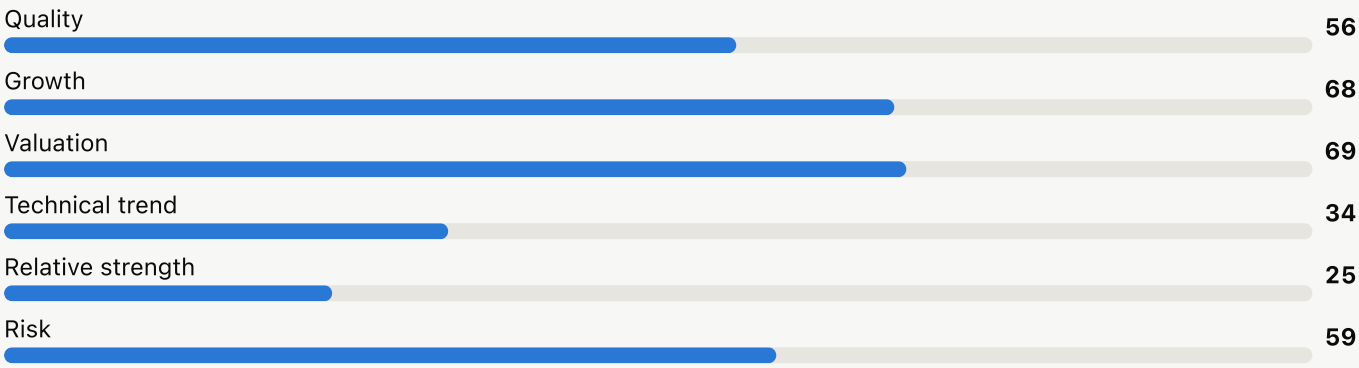
Promoter and group	0.00
FII / FPI	39.40
DII	43.63
of which mutual funds	31.88
Public and others	16.97
Promoter shares pledged	0.00

NSE shareholding pattern as of 30-Sep-2026. Pledge is a share of the promoter holding. Promoter holding was 0.00% on 30-Sep-2025.

OUR TARGET VS STREET

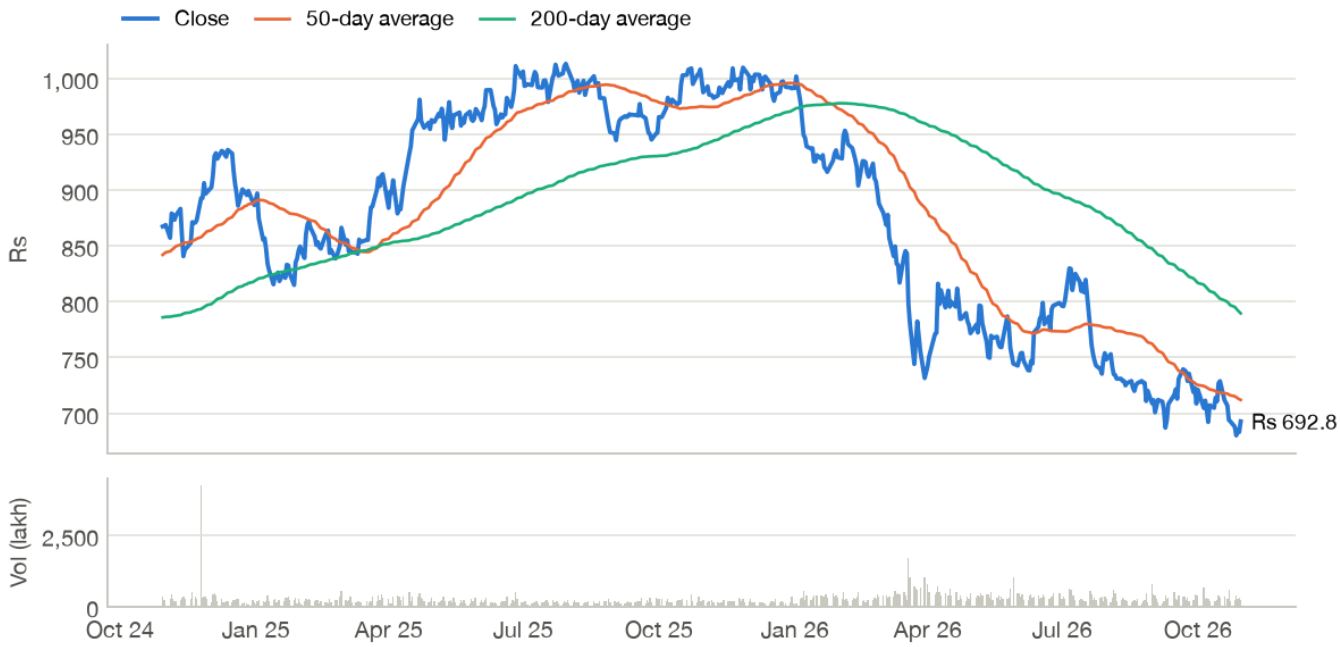
Our target	Rs 832.9
Consensus mean	Rs 959.4
Difference	(13.2)%
Consensus range	Rs 830.0 to Rs 1,270

SCORECARD



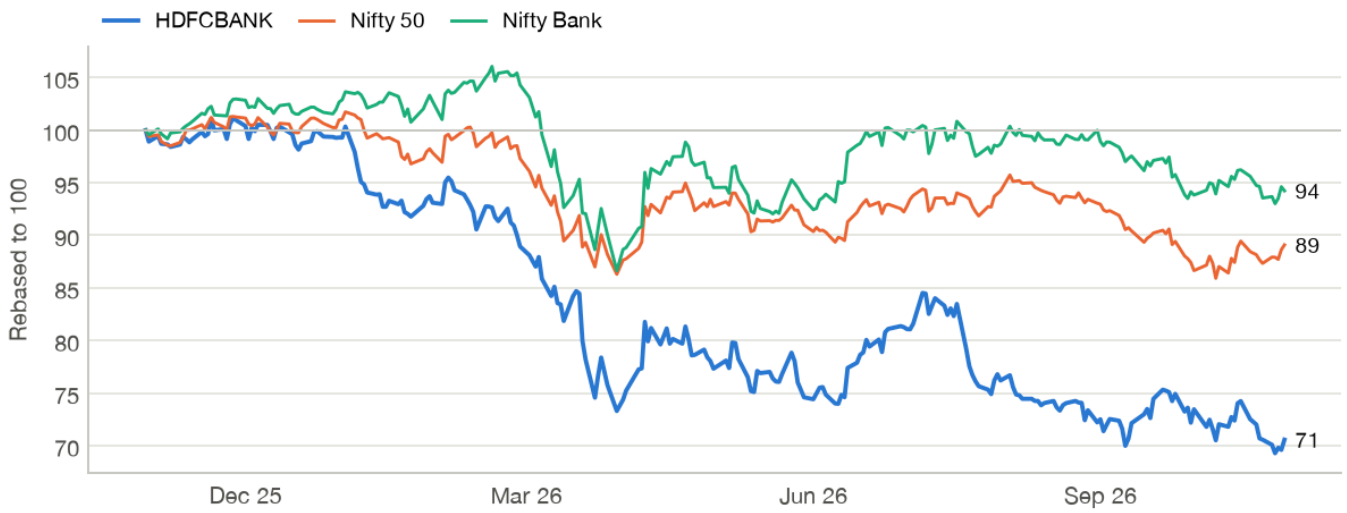
Price action

Exhibit 1: Price with 50-day and 200-day moving averages (2 years)



Source: Yahoo Finance; Bharat Stock Analyser

Exhibit 2: 12-month performance rebased to 100 vs Nifty 50 and Nifty Bank



Source: Yahoo Finance; Bharat Stock Analyser

Quarterly performance

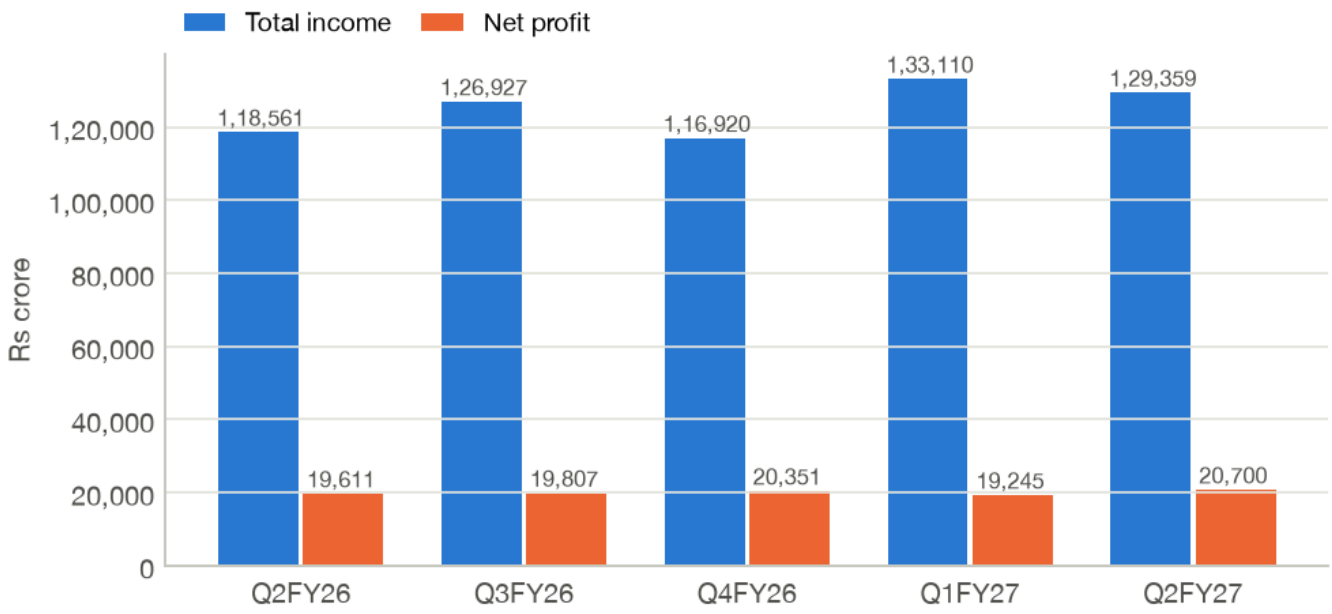
Exhibit 3: Quarterly snapshot: Q2FY27

Rs crore	Q2FY27	Q1FY27	QoQ	Q2FY26	YoY
Total income	1,29,359	1,33,110	(2.8)%	1,18,561	9.1%
Net interest income	44,464	42,950	3.5%	40,253	10.5%
One-off items, pre-tax (estimated)	(837.1)	0.0	n.m.	(753.1)	n.m.
PBT	27,825	27,193	2.3%	25,906	7.4%
Tax	7,125	6,810	4.6%	6,295	13.2%
Net profit to owners	20,700	19,245	7.6%	19,611	5.6%
Net profit excl. one-offs	21,323	19,245	10.8%	20,181	5.7%
Net margin (%)	16.0	14.5	154bps	16.5	(54)bps
EPS excl. one-offs (Rs)	13.82	12.47	10.8%	13.08	5.7%

Sources: Q2FY26, Q3FY26, Q4FY26, Q1FY27, Q2FY27 from NSE results filings (consolidated XBRL).

Source: NSE filings; Bharat Stock Analyser

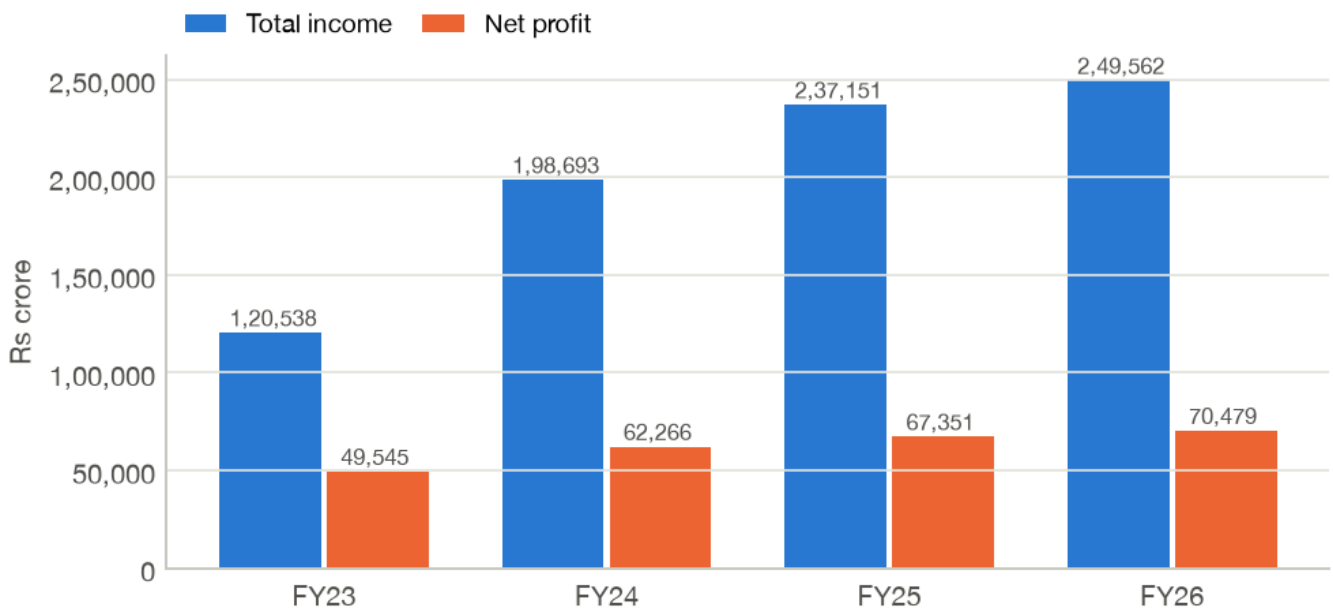
Exhibit 4: Revenue and net profit, last five quarters (Rs crore)



Source: NSE filings; Bharat Stock Analyser

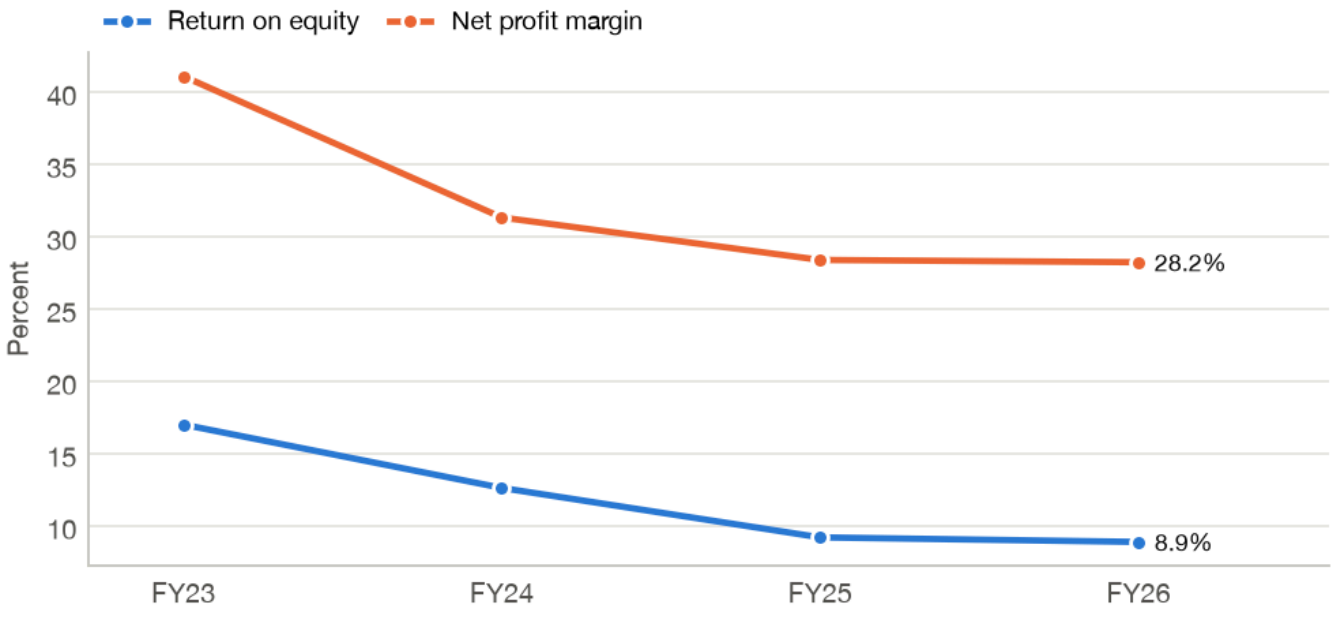
Financial summary

Exhibit 5: Revenue and net profit (Rs crore)



Source: Yahoo Finance; Bharat Stock Analyser

Exhibit 6: Return ratios and margins (%)



Source: Yahoo Finance; Bharat Stock Analyser

Exhibit 7: Profit and loss account (Rs crore), year ending March

Year end	FY23	FY24	FY25	FY26
Total income	**1,20,538**	**1,98,693**	**2,37,151**	**2,49,562**
Growth (%)	-	*64.8%*	*19.4%*	*5.2%*
Net interest income	91,399	1,24,800	1,40,449	1,49,977
Profit before tax	66,238	70,546	86,155	93,903
Tax	16,612	7,783	17,501	21,193
Net profit to owners	**49,545**	**62,266**	**67,351**	**70,479**
Growth (%)	-	*25.7%*	*8.2%*	*4.6%*
Net profit excl. one-offs	49,545	62,266	67,351	70,479
EPS reported (Rs)	32.10	40.35	43.64	45.67
EPS excl. one-offs (Rs)	32.10	40.35	43.64	45.67
DPS (Rs)	5.60	5.61	10.24	14.20
Dividend payout (%)	17.4%	13.9%	23.5%	31.1%

Source: Company filings via Yahoo Finance; Bharat Stock Analyser calculations

Exhibit 8: Balance sheet (Rs crore), year ending March

Year end	FY23	FY24	FY25	FY26
Shareholders' funds	**2,91,220**	**6,94,733**	**7,67,689**	**8,16,740**
Borrowings	3,15,179	8,09,355	7,32,611	6,64,364
Cash and equivalents	2,36,392	3,42,597	3,22,232	3,65,067
Total assets	**25,75,562**	**44,11,857**	**48,18,767**	**52,62,119**

Source: Company filings via Yahoo Finance; Bharat Stock Analyser calculations

Exhibit 9: Cash flow statement (Rs crore), year ending March

Year end	FY23	FY24	FY25	FY26
Cash flow from operations	**47,720**	**1,02,232**	**1,19,562**	**1,11,856**
Capital expenditure	(4,362)	(5,384)	(6,640)	(5,278)
Free cash flow	**43,358**	**96,848**	**1,12,922**	**1,06,578**
Cash flow from investing	(4,39,278)	(3,67,256)	(3,71,606)	(3,57,717)
Cash flow from financing	4,17,391	3,34,734	2,41,935	2,97,242
Dividends paid	(8,639)	(8,662)	(15,806)	(21,907)

Source: Company filings via Yahoo Finance; Bharat Stock Analyser calculations

Exhibit 10: Financial ratios, year ending March

Year end	FY23	FY24	FY25	FY26
Return on equity (%)	17.0%	12.6%	9.2%	8.9%
Return on assets (%)	1.9%	1.8%	1.5%	1.4%
Net margin (%)	41.1%	31.3%	28.4%	28.2%
Leverage factor (x)	8.8x	7.1x	6.3x	6.4x
Book value per share (Rs)	188.71	450.18	497.46	529.24
FY-end P/E excl. one-offs (x)	25.1x	17.9x	20.9x	16.0x
FY-end P/B (x)	4.26x	1.61x	1.84x	1.38x

Source: Company filings via Yahoo Finance; Bharat Stock Analyser calculations

EPS, DPS and book value per share are calculated on the current share count so that they stay comparable across bonus issues and splits. Return ratios use average equity and assets where two years are available.

Valuation

Exhibit 11: Target price build-up

Method	Key inputs	Value (Rs)	Weight
Relative P/B	Book value per share: Rs 394.8 Forward book value (12m): Rs 419.0 Own FY-end P/B median: 1.72x Peer median P/B: 1.80x Current P/B: 1.75x Target P/B applied: 1.76x	Rs 738.1	57%
Justified P/B (Gordon growth) Excluded as an outlier: Rs 180.0 is outside 0.4x to 2.5x of the current price.	Average ROE (3 yrs): 10.2% Sustainable growth: 7.1% Cost of equity: 14.5% Justified P/B: 0.43x Forward book value: Rs 422.7	Rs 180.0	0%
Street consensus	Analysts: 42 Mean target: Rs 959.4 Low / high target: Rs 830.0 / Rs 1,270 Consensus view: Strong Buy	Rs 959.4	43%
Blended 12-month target		**Rs 832.9**	100%

- Conflict: Justified P/B (Gordon growth) gives Rs 180.0, on the other side of the current price from the target of Rs 832.9.

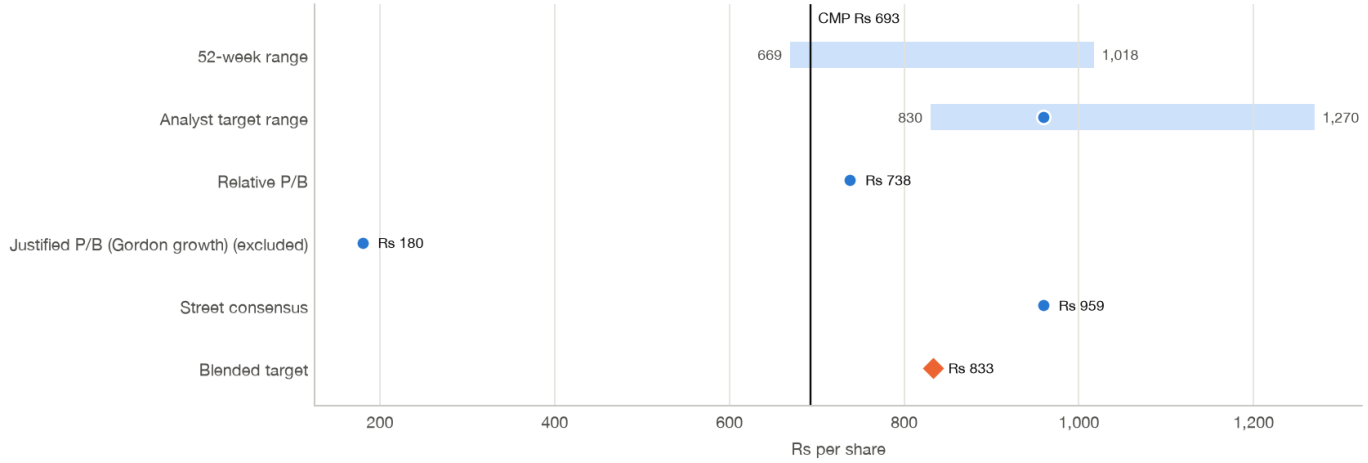
Source: Yahoo Finance; Bharat Stock Analyser

Exhibit 12: Scenario analysis (relative method)

Case	Forward book value (Rs)	P/B	Value (Rs)	vs CMP	Assumption
Bear	356.2	1.40x	Rs 500.0	(27.8)%	earnings 15% below base; multiple 20% below the lower of current and target
Base	419.0	1.76x	Rs 738.1	+6.5%	forward earnings and target multiple as used in the relative method
Bull	461.0	2.03x	Rs 933.7	+34.8%	earnings 10% above base; multiple 15% above target

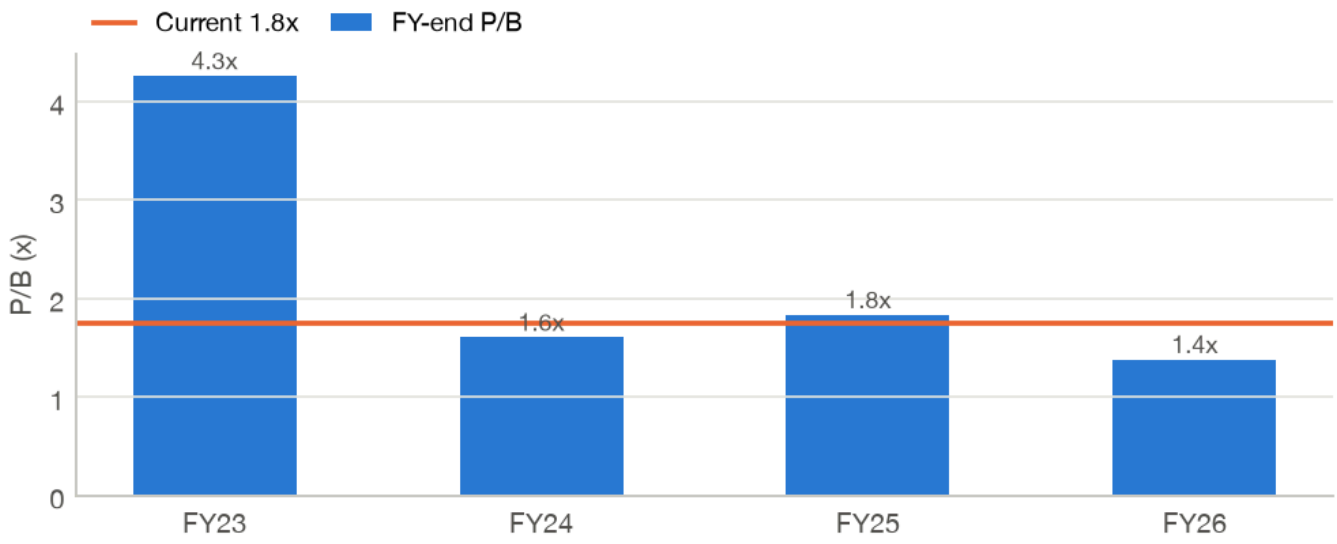
Source: Yahoo Finance; Bharat Stock Analyser

Exhibit 13: Valuation football field (Rs per share)



Source: Yahoo Finance; Bharat Stock Analyser

Exhibit 14: FY-end P/B history vs current



Source: Yahoo Finance; Bharat Stock Analyser

Exhibit 15: Current multiples vs history and peers

Multiple	Current	Own median	Peer median
P/E (trailing, excl. one-offs)	13.2x	19.4x	19.0x
P/B	1.75x	1.72x	1.80x
EV / EBITDA	-	-	-
PEG (forward growth)	-	-	-
Free cash flow yield (%)	-	-	-

Source: Yahoo Finance; Bharat Stock Analyser

Exhibit 16: Cost of capital assumptions

Assumption	Value
Risk-free rate (India 10-yr G-Sec)	6.5%
Equity risk premium	7.0%
Raw beta (1-yr daily vs Nifty 50)	1.22
Adjusted beta (0.67 x raw + 0.33, bounded 0.7 to 1.5)	1.15
Cost of equity	14.5%
Post-tax cost of debt	6.7%
WACC (floor 10%)	14.5%
Terminal growth	5.0%

Source: Bharat Stock Analyser

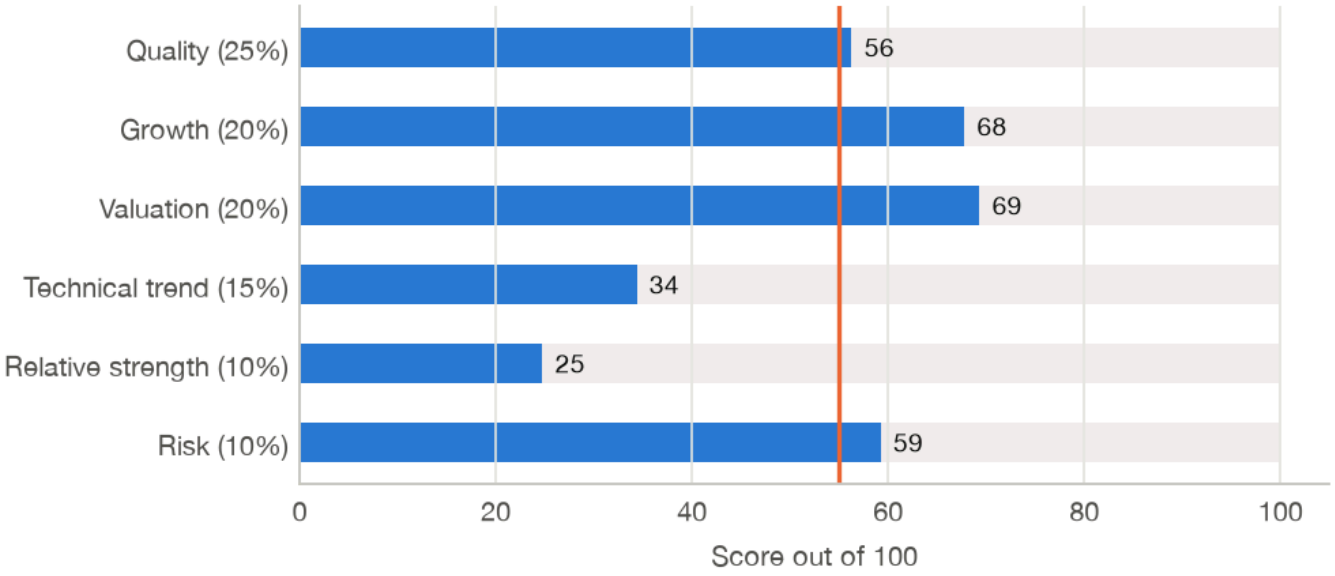
Scorecard

Exhibit 17: Six-pillar scorecard (0 to 100)

Pillar and metric	Value	Score
Quality (25%)		**56**
Return on equity	8.9%	9
Return on assets	1.40%	60
Book value CAGR	41.0%	100
Growth (20%)		**68**
Revenue CAGR (3 yrs)	27.5%	100
EPS CAGR excl. one-offs (3 yrs)	12.5%	70
Latest quarter revenue YoY (Q2FY27 vs Q2FY26)	9.1%	56
Latest quarter PAT YoY excl. one-offs (Q2FY27 vs Q2FY26)	5.7%	45
Valuation (20%)		**69**
P/B vs own FY-end median	1.02x	64
P/B vs peer median	0.97x	75
Technical trend (15%)		**34**
Price vs 200-DMA	(12.3)%	11
Price vs 50-DMA	(2.7)%	41
50-DMA vs 200-DMA	(9.8)%	0
RSI (14)	44.1	95
MACD histogram	Negative	25
Relative strength (10%)		**25**
3-month return vs Nifty 50	(2.9)%	40
6-month return vs Nifty 50	(4.8)%	34
12-month return vs Nifty 50	(18.5)%	0
Risk (10%)		**59**
Annualised volatility (1 yr)	22.2%	87
Maximum drawdown (1 yr)	(31.5)%	49
Beta vs Nifty 50 (1 yr)	1.22	42
Composite score		**55**

Source: Yahoo Finance; Bharat Stock Analyser

Exhibit 18: Pillar scores against the composite



Source: Yahoo Finance; Bharat Stock Analyser

> Each metric is scored on a straight line between a weak value (0) and a strong value (100). Pillar scores average their metrics; the composite weights the pillars as shown. Thresholds are listed in the methodology section.

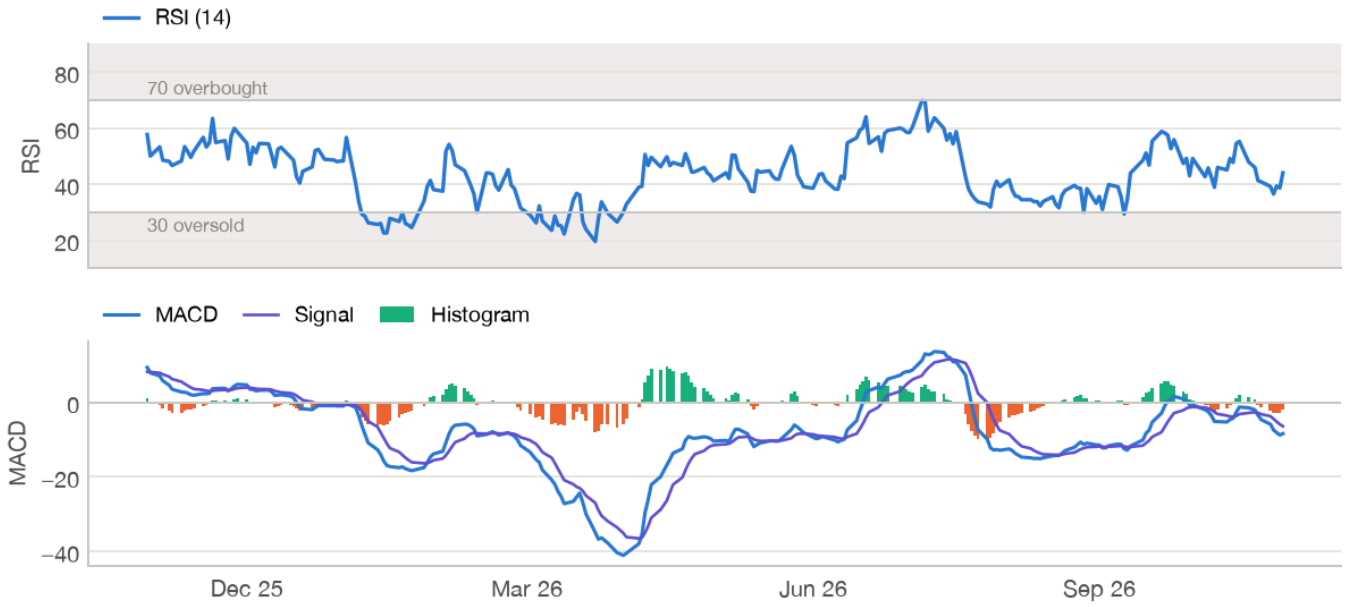
Technical view

Exhibit 19: Technical dashboard

Indicator	Value	Reading	Signal
50-day moving average	712.06	Price below by 2.7%	Bearish
200-day moving average	789.52	Price below by 12.3%	Bearish
50-DMA vs 200-DMA	(77.47)	50-DMA below 200-DMA (downtrend structure)	Bearish
RSI (14)	44.05	Weak momentum	Bearish
MACD (12,26,9)	(8.42)	MACD below signal line	Bearish
Bollinger band position	31.44	31% of the band width	Neutral
Distance from 52-week high	(31.91)	-31.9% from the high	Bearish
Volume vs 3-month average	0.72	0.72 times the average	Neutral

Source: Yahoo Finance; Bharat Stock Analyser

Exhibit 20: RSI (14) and MACD (12, 26, 9), 12 months



Source: Yahoo Finance; Bharat Stock Analyser

Exhibit 21: Key levels and risk measures

Measure	Level
Resistance	Rs 734.9, Rs 749.3
Support	Rs 690.5
Average true range (14)	Rs 14.29 (2.1% of price)
Annualised volatility (1 yr)	22.2%
Maximum drawdown (1 yr)	(31.5)%

Source: Yahoo Finance; Bharat Stock Analyser

Peer comparison: Private Banks

Exhibit 22: Peer valuation and returns

Company	Mcap (Rs cr)	Price	P/E (x)	P/B (x)	ROE (%)	Op. margin (%)	Div. yield (%)	1-yr return (%)
HDFCBANK HDFC Bank Limited	**10,69,149**	**Rs 692.8**	**15.1**	**1.75**	**11.0**	**38.5**	**1.88**	**(29.4)**
ICICIBANK ICICI Bank Limited	10,03,869	Rs 1,398	17.2	2.57	16.5	37.5	0.86	3.5
KOTAKBANK Kotak Mahindra Bank Limited	4,59,194	Rs 461.6	21.4	2.35	11.8	37.8	0.14	8.2
AXISBANK Axis Bank Limited	3,78,983	Rs 1,217	12.7	1.64	13.9	47.1	0.08	(1.7)
INDUSINDBK IndusInd Bank Limited	65,292	Rs 838.0	21.8	0.96	4.5	29.5	0.18	4.8
IDFCFIRSTB IDFC First Bank Limited	62,089	Rs 72.00	20.9	1.25	6.3	19.2	0.35	(8.5)
FEDERALBNK The Federal Bank Limited	83,919	Rs 339.7	16.6	1.96	13.3	44.5	0.35	45.2
Peer median	**-**	**-**	**19.0**	**1.80**	**12.6**	**-**	**-**	**4.1**

Source: Yahoo Finance; Bharat Stock Analyser

News flow and sources

RECENT HEADLINES (DATA FEED)

- 30-Oct-2026 GuruFocus.com: Mastercard Inc (MA) (Q3 2026) Earnings Call Highlights: Double-Digit Revenue Growth, Agentic ...
- 28-Oct-2026 Zacks: WF or HDB: Which Is the Better Value Stock Right Now?
- 28-Oct-2026 Investing.com: Jio shares surge over 20% in blockbuster market debut
- 22-Oct-2026 Retail Banker International: HDFC Bank probe reveals data leak by two senior executives – report
- 21-Oct-2026 MT Newswires: Market Chatter: HDFC Bank Probe Finds Two Executives Leaked Secrets
- 20-Oct-2026 GuruFocus.com: HDFC Bank Ltd (HDB) (Q2 2027) Earnings Call Highlights: Deposits Surge 18. ...
- 19-Oct-2026 MT Newswires: Sector Update: Financial Stocks Decline Pre-Bell Monday
- 19-Oct-2026 MT Newswires: Sector Update: Financial

EXCHANGE FILINGS USED BY THE MODEL

- 17-Oct-2026 NSE results filing, Q2FY27 (consolidated)
- 18-Jul-2026 NSE results filing, Q1FY27 (consolidated)
- 18-Apr-2026 NSE results filing, Q4FY26 (consolidated)
- 17-Jan-2026 NSE results filing, Q3FY26 (consolidated)
- 18-Oct-2025 NSE results filing, Q2FY26 (consolidated)
- 19-Jul-2025 NSE results filing, Q1FY26 (consolidated)
- 06-Oct-2026 NSE shareholding pattern, 30-Sep-2026

Methodology and rating key

▲ BUY: upside 15% or more | ◆ HOLD: -5% to 15% | ▼ SELL: below -5% | Provisional: never BUY

- **Earnings basis.** EBITDA excludes other income and unusual items. Net profit is profit attributable to owners. One-off items are the source's unusual items plus any spike in other income (more than three times the median of the other periods, with the excess at least 10% of profit before tax); they are removed after tax at the period's effective rate for EPS, P/E history, growth scores and the target. This is an estimate; company-defined adjusted figures can differ. Quarterly comparisons are matched by period end date. Trailing EPS uses four consecutive quarters, or the latest full year when a quarter is missing.
- **Target price.** Weighted blend of a relative multiple (40%), an intrinsic method (30%: free cash flow DCF for non-financials, justified P/B for lenders) and the street consensus mean (30%). A method more than 2.5x or less than 0.4x the current price is excluded as an outlier; weights are renormalised. The blended target is capped at 1.15x the highest analyst target.
- **Relative multiple.** Forward EPS (consensus where it is between 0.5x and 1.4x of trailing EPS; capped at 1.4x trailing when consensus expects a sharper rebound, because a historical P/E applied to recovery earnings double counts the recovery; otherwise trailing EPS grown at the 3-year EPS CAGR bounded to -10% and 20%) times the median of the company's FY-end P/E history and the peer median P/E, bounded to 5x and 80x and capped at 1.25x the current P/E, so that no more than a 25% re-rating is assumed within 12 months. Lenders use forward book value and P/B with the same cap. Scenarios: bear case earnings 15% lower at 0.8x the lower of current and target multiple; bull case earnings 10% higher at 1.15x the target multiple.
- **DCF.** Base free cash flow is the average of the last three years. Growth for years 1 to 5 equals the revenue CAGR bounded to 3% and 15%, fading to terminal growth by year 10. The present value is rolled forward 12 months at the cost of equity less the dividend yield. An excluded method that lies on the other side of the current price from the target lowers conviction to Low.
- **Gates.** A BUY with composite score under 50 is cut to HOLD. A HOLD with score under 35 and upside under 5% becomes SELL. The rating is provisional, cannot be BUY and has Low conviction when only one valuation method is usable, a download the rating depends on failed, quarterly results are past their SEBI LODR deadline (45 days; 60 for the March quarter) but missing from the data, or research found newer results or a data conflict. Otherwise conviction reflects the score and the spread between methods.
- **Scorecard thresholds (0 to 100).** ROE 5% to 22% (lenders 8% to 18%); ROCE 6% to 25%; net debt to equity 1.5x to 0x; interest cover 1.5x to 10x; CFO to PAT 0.5x to 1.1x; revenue CAGR 0% to 15%; EPS CAGR -5% to 20%; P/E vs own median 1.4x to 0.8x; PEG on forward growth 3 to 1; free cash flow yield 0% to 5%; price vs 200-DMA -15% to +10%; relative return vs Nifty -15% to +15%; volatility 50% to 18%; drawdown -50% to -12%; beta 1.6 to 0.7. Upside to the model's own target is not scored.
- **Data.** Prices, annual statements, consensus and peer data from Yahoo Finance via the open-source yfinance library, fetched 01-Nov-2026 18:51 IST. Quarterly results, results board meeting dates and the shareholding pattern come from NSE filings (XBRL) where available; a filed quarter replaces Yahoo's figure for the same quarter, and differences above 2% (revenue) or 5% (profit) are listed in the data notes. If the exchange cannot be reached, the report uses Yahoo alone and says so. Figures are consolidated where the company reports them. Rs crore = Rs 10 million.
- **Freshness.** Results filed with the exchange, or considered at a results board meeting, for a quarter that is not in the model data make the rating provisional. A board meeting followed by a later meeting for the same quarter is treated as rescheduled.

DATA NOTES FOR THIS REPORT

- Source inconsistency: balance-sheet equity implies book value of Rs 529.2 per share, but the source reports Rs 394.8. Statement-based ratios (ROE, P/B history) may be affected; check the latest annual report.
- Q2FY27 includes an estimated one-off charge of Rs 837.1 cr before tax (unusual items); profit excluding it is Rs 21,323 cr against Rs 20,700 cr reported.

DISCLAIMER

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